Despite the inability to achieve any significant outcome in 1953, the rest of the decade was in fact a rather propitious time for India–Pakistan relations. Protracted negotiations between Indian cabinet minister Swaran Singh and General Khalid Sheikh of the Pakistan President's cabinet resolved some of the ambiguities of the Radcliffe Line in Punjab. The Indus Waters Treaty was also settled by the two countries along with the World Bank in 1954. The Treaty gave India the exclusive right to the Beas, Sutlej, and Ravi rivers, while India agreed to allow the Indus, Jhelum, and Chenab to flow to Pakistan, but could use these rivers for run-of-the-river hydroelectric projects and for existing irrigation. [116] India and the World Bank paid Pakistan to compensate them for replacement canals, a move that faced resistance from many in India, including from within Nehru's government. In 1955, the Indian cricket team toured Pakistan. In 1959, Ayub even proposed a joint defence mechanism between Pakistan and India to counter China. This suggestion was rejected by Nehru because it would have required deviating from Non-Alignment. [117]

These developments—demarcating parts of the Radcliffe Line, the Nehru–Liaquat Pact of 1950, the Indus Waters Treaty, and a seemingly shared threat emanating from China—meant that Nehru's five-day visit to Pakistan in 1960 to formally sign the Indus Waters Treaty was perhaps the first real opportunity to completely normalize relations between the two countries. But India's high commissioner in Pakistan, Rajeshwar Dayal, who had established a strong personal rapport with Ayub, had instead been sent as UN special envoy to Congo. Ayub was stung by this move and other signs of what he perceived as Nehru's arrogance. '[T]he Congo was more important to India than Pakistan,' he later told Dayal, '*Woh* [Nehru] *mujhe hiqarat ki nazar se dekhte hain.* [He looks at me with contempt].' [118] No meaningful progress was made on Jammu and Kashmir at the 1960 summit.

The window for improved India–Pakistan relations began to close after the 1962 war with China. Pakistan began to see India as a 'defeated nation' (to use Zulfikar Ali Bhutto's phrase). [119] While the Indian economy began to slow, Pakistan's industrialization efforts picked up and its economy grew at rapid rates during much of the 1960s, primarily to the benefit of the elite. In